

Loyalty to Customers and Brand

by Sophia



WHAT'S COVERED

In this lesson, you will learn additional ethical responsibilities to help contribute to a positive work environment. Specifically, this lesson will cover:

1. Respecting the Brand

A good employment relationship is beneficial to both management and employees. When a company's products or services are legitimate and safe, and its employment policies are fair and compassionate, managers should be able to rely on their employees' dedication to those products or services and to their customers. Although no employee should be called upon to lie or cover up a misstep on the part of the firm, every employee should be willing to make a sincere commitment to an ethical employer.

Every company puts time, effort, and money into developing a brand—that is, a product or service marketed by a particular company under a particular name. As Apple, Coca-Cola, Amazon, BMW, McDonald's, and creators of other coveted brands know, branding—creating, differentiating, and maintaining a brand's image or reputation—is an important way to build company value, sell products and services, and expand corporate goodwill. Generally, a **brand** encompasses an image, logo, tagline, or other element that is trademarked, meaning the company owns it and must give permission to others who would legally use it (even a color can be trademarked, such as Tiffany's unique shade of blue). But a brand is also a company's reputation.



Companies want and expect employees to help in their branding endeavors. For example, according to the head of training at American Express, the company's brand is its product, and its mantra has always been, "Happy employees make happy customers." American Express places significant emphasis on employee satisfaction because it is convinced this strategy helps protect and advance its brand. Another company that uses positive employee involvement in branding is the technology conglomerate Cisco, which started a branding program on social media that reaches out to employees. Employees are encouraged to be creative in their brand-boosting posts in the program. The benefit is that prospective job candidates get a peek into Cisco life, and current employees feel the company trusts and values their ideas.

However, protecting the brand can be a special challenge today, thanks to the ease with which customers and even employees can post negative information about the brand on the Internet and social media. Consider these examples in the fast-food industry. A photo posted on Taco Bell's Facebook page showed an employee licking a row of tacos. A Domino's Pizza employee can be seen in a YouTube video spitting on food, putting cheese into his nose and then putting that cheese into a sandwich, and rubbing a sponge used for dishwashing on his groin area. On Twitter, a Burger King employee in Japan posted a photo of himself lying on hamburger buns while on duty.

The companies all responded swiftly. A Taco Bell spokesperson said the food was not served to customers and the employee in the photo was fired. The two Domino's employees behind the videos were fired and faced felony charges and a civil lawsuit; Domino's said the tainted food was never delivered. According to a Burger King news release, the buns in the photo were waste material because of an ordering mistake and were promptly discarded after the photo was taken—but the employee in the photo was fired.

These examples demonstrate how much damage disloyal or disgruntled employees can create, especially on social media. All three companies experienced financial and goodwill losses after the incidents and struggled to restore public trust in their products. The immediate and long-term costs of such incidents are the reason companies invest in developing brand loyalty among their employees.

According to a *Harvard Business Review* interview with Colin Mitchell, then global vice president of McDonald's Brand, good branding requires that a business think of marketing not just to its customers but also to its employees, because they are the "very people who can make the brand come alive for your customers" (2002). The process of getting employees to believe in the product, to commit to the idea that the company is selling something worth buying, and even to think about buying it, is called **internal marketing**. Of course, some employees may not want to be the equivalent of a company spokesperson.



THINK ABOUT IT

Is it reasonable to expect an employee to be a kind of roving ambassador for the company, even when off the clock and interacting with friends and neighbors? Suppose employers offer employees substantial discounts on their products or services. Is this an equitable way to sustain reciprocal loyalty between managers and workers? Why or why not?

Internal marketing is an important part of the solution to the problem of employees who act as if they do not care about the company. It helps employees make a personal connection to the products and services the business sells, without which they might be more likely to undermine the company's expectations, as in the three fast-food examples cited in this section. In those cases, it is clear the employees did not believe in the brand and felt hostile toward the company. The most common problem is usually not as extreme. More often it is a lack of effort or "slacking" on the job. Employees are more likely to develop some degree of brand loyalty when they share a common sense of purpose and identity with the company.



TERMS TO KNOW

Brand

Elements of a company's trademark such as image, logo, slogan, and even a specific color. In a broader sense, brand includes a company's reputation.

Internal Marketing

The process of trying to get employees to really believe in and commit to the product or service being sold.

2. Obligations to Customers



As the public's first point of contact with a company, employees are obliged to assist the firm in forming a positive relationship with customers. How well or poorly they do so contributes a great deal to customers'

impression of the company. And customers' perceptions affect not only the company but all the employees who depend on its success for their livelihood. Thus, the ethical obligations of an employee also extend to interactions with customers, whom they should treat with respect. Employers can encourage positive behavior toward customers by empowering employees to use their best judgment when working with them.

Employees who display zeal may do so out of intrinsic motivation—that is, motivation that comes from within a person's own self. For example, intrinsic motivation would be that they genuinely enjoy helping others. Some employees may simply want to be recognized and appreciated for their effort, as with extrinsic motivation. Extrinsic motivation means you are motivated externally, such as by a pay raise or being told by a supervisor you did a good job.

But some brands make their excellent customer service part of their brand.

➞ **EXAMPLE** One company well regarded for this is Trader Joe's. Staff are trained to help customers find what they need and will even rip open packages for a taste test. They will help customers carry groceries to their car if they need help (Morgan, 2019). In a viral story, Trader Joe's even delivered groceries to a snowed-in senior; the company does not usually deliver but made an exception when the elderly man's daughter called the store, even making recommendations when she explained his dietary restrictions (Reddit, 2009). Trader Joe's has a loyal customer base, and with free publicity from stories like that of the snowed-in senior, you can see the benefits of emphasizing customer service as your business model. But the need to be upbeat and helpful to customers can be a challenge for employees (Scheiber, 2016).



THINK ABOUT IT

- Is there a way for a manager to find, develop, and encourage employees to cultivate positive relationships with customers, or is the desire to “do something good for somebody” an inherent trait (intrinsic motivation) in some employees that is missing in others?
- What is the appropriate means to extrinsically reward a worker with a level of commitment to satisfied customers, or to penalize someone who fails?
- How do you train staff to be helpful and courteous (even going above and beyond your own policies) without causing staff burnout or setting unrealistic expectations?

Employees who treat customers well are assets to the company and deserve to be treated as such. Sometimes, however, customers are rude or disrespectful, creating a challenge for an employee who wants to do a good job. It may take only one bad customer interaction with a less-than-engaged or committed employee to sour brand loyalty, no matter how hard a company has worked to build it. In the same way, just one good experience can build up good will. This problem is best addressed by management and the employee working together. In the Pizza Hut case that follows, an employee was placed in a bad situation by customers.

IN CONTEXT

At an independently owned Pizza Hut franchise in Oklahoma, two regular customers made sexually offensive remarks to a female employee named Lockard, who then told her boss she did not like waiting on them. One evening, these customers again entered the restaurant, and her boss instructed Lockard to wait on them. She did, but this time, the customers became physically abusive. Although it is the employee's duty to provide good customer service, that does not mean accepting

harassment. Lockard sued her employer, the owner of the franchise, for failing to take her complaints seriously and for making her continue to suffer sexual harassment and assault by customers. The jury ruled in her favor, awarding her \$360,000, and an appeals court upheld the judgment.

In short, a manager can't rely on simplistic maxims like "the customer is always right," but must make ethical decisions whenever a conflict arises as well as prepare staff to defuse potential problems and handle disagreeable customers. Just as every employee should treat customers and clients with respect, so every employer is ethically—and often legally—obligated to safeguard employees on the job. This includes establishing a workplace atmosphere that is safe and secure for workers.



THINK ABOUT IT

- Clearly, no employee should expect to be physically assaulted, but how far should an employee be expected to go in the name of customer service? Is taking verbal taunts expected? Why or why not?
- If you were the owner of this Pizza Hut franchise, what protections might you put in place for your employees?



SUMMARY

In this lesson, you learned about the role of business ethics in the consideration of the employer's products and customers. As an employee, you should **respect the brand**. Just as you cannot disparage the company, you should not deride the products or services they provide. **Obligations to customers** entails similar respect as you would show anyone. There is an old adage: Take care of your employees and they, in turn, will take care of customers. Neglect either and the consequences can spell disaster. However, this does not mean any person at any level should put up with abuse from customers. Respect, consideration, and effective communication are all important elements of successful businesses.

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